

You understand mean reversion

Every year, it seems, some fund manager gets the hot hand and becomes a media darling. They attract lots of assets as investors chase past performance. The size of their fund balloons. Then the disappointments come.

Here's why: Outperformance is often random among the 20% who manage to do much better than their benchmark each year. But it's always a different 20%. Following that run of good fortune, they typically follow with a subpar year, as their chosen style or sector cools off—it reverts to the mean, or average. (Math is a cruel mistress.)

You have a plan

I am constantly astonished at how few people actually have any sort of long-term plan other than throwing some money into a 401(k) or IRA and hoping for the best.

You can pick stocks

Let's be brutally honest about this: Discussing specific stocks during a bull market is loads of fun. Chatting about new products, management, and exciting new technologies makes for great cocktail party chatter.

The problem is that most of us lack the specific skill set to do this well. This includes understanding valuations, recognizing problems early and, perhaps most of all, following your discipline to limit losses when things don't work out.

You are saving enough for retirement

I'll spare you the lecture, but for most of you this is not true.

The average retirement account held by 60% of Americans is less than \$25,000, according to the Employee Benefit Research Institute (EBRI). The